Retail Research	IPO Note
Sector: Hospitality	Price Band (Rs): 769 – 808
19th June 2026	Recommendation: SUBSCRIBE for Long Term

Waterways Leisure Tourism Ltd.

Company Overview:

Waterways Leisure Tourism Ltd. (WLT) is one of India's leading ocean cruise operators, offering a luxurious cruise experience under the brand Cordelia Cruises, focused on Indian subcontinent culture and cuisines. The company operates a cruise vessel, named MV Empress, and primarily sails to domestic destinations such as Mumbai, Goa, Kochi, Chennai, Lakshadweep, amongst others. Furthermore, it also offers international itineraries to Hambantota, Trincomalee, and Jaffna (Sri Lanka), Phuket (Thailand), Singapore, Kuala Lumpur and Langkawi (Malaysia). MV Empress features 796 cabins, including suites, ocean-view cabins, and interior staterooms, along with amenities such as restaurants, entertainment shows, casino, spa, fitness centre, swimming pools, gaming arcade, children's academy, and MICE & wedding facilities. In FY25, the company held ~79% market share by value in India's domestic ocean cruise industry.

Key Highlights:

1. Pioneer in ocean cruise tourism in India: WLT is one of the few domestic cruise operators in India and is well placed to capitalize on industry tailwinds. Indian overnight ocean and coastal cruise industry is expected to grow at a CAGR of 20-25% between FY26-31E, driven by increase in total number of itineraries, infrastructure investments, growing domestic cruise adoption, and increased awareness about cruise travels. Furthermore, the government's commitment to transform India into a global cruise tourism hub under the Cruise Bharat Mission would provide positive fillip to the industry.

2. Higher direct bookings aid margins: The company enjoys higher proportion of direct booking supported by its proprietary call centers which employ 148 cruise holiday experts. This contributes to the efficiency and effectiveness of its direct sales, ensuring seamless customer interactions and booking experiences. WLT sold ~62% of its cabins via direct bookings in FY26. Direct bookings help reduce commissions paid to travel agents, thereby improving margins. It also provides an additional opportunity for direct contact with the guests, allowing the company to better understand their preferences, build stronger brand awareness and deliver a more personalized experience.

3. Efficiency gains driven by outsourcing: WLT outsources critical cruise operations to enhance operational efficiency and scalability. The company has entered into agreements with third-party service providers to manage key operations which include food and beverages, housekeeping, crewing, technical management, deck and engine crew management, and entertainment. This approach allows the company to optimize labor costs and reduce operational expenses by minimizing overheads associated with maintaining full-time staff for these operations. Furthermore, this also provides flexibility to scale operations according to seasonal demand.

Valuation: WLT is one of India's leading cruise operators and a good proxy to the Indian Ocean and Coastal Cruise industry. The industry is expected to grow at 20-25% CAGR over the next 5 years, recovering from a tepid FY26 which was marred by a volatile global backdrop. The company aims to add two new vessels - Norwegian Sky in FY27 (likely in Sep'26) and Norwegian Sun in FY28 - to its fleet, which would help cater rising industry demand. The newer vessels would have higher balcony cabin mix, aiding in better ARR per passenger. FY26 revenue has been flat and adjusted profits have declined by ~44% YoY which the management has attributed to expansion costs pertaining to the new vessels, including increased manpower and office space, amounting to ~Rs 40 cr. Accordingly, the current high overhead costs will get absorbed once the two vessels will get commissioned. At the upper price band of Rs 808, the issue is valued at a P/E & EV/EBITDA of 112.2x/48.6x respectively based on FY26 on a post-issue basis. Given the company's improved profit growth outlook, market leadership and robust industry growth expectations, we recommend investors to SUBSCRIBE to the issue for long-term investment horizon.

Issue Details	
Date of Opening	23rd June 2026
Date of Closing	25th June 2026
Price Band (Rs)	769 – 808
Fresh Issue (Rs cr)	585
Issue Size (Rs cr)	585
No. of shares	72,40,099 @ upper price band
Face Value (Rs)	10
Post Issue Market Cap (Rs cr)	5,595 – 5,850
BRLMs	Centrum Broking Ltd.
Registrar	MUFG Intime India Pvt. Ltd.
Bid Lot	18 shares and in multiple thereof
QIB shares	75%
Retail shares	10%
NII shares	15%

Objects of Issue	Estimated utilization from net proceeds (Rs cr)
Payment towards deposit/ advanced lease rental and monthly lease payments to step-down subsidiary, Baycruise Shipping and Leasing (IFSC) Private Limited (Baycruise IFSC)	480.0
General corporate purposes*	-
Total proceeds from fresh issue*	-

**To be finalized upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. The amount to be utilized for general corporate purposes and unidentified inorganic acquisition shall not exceed 35% of the Gross Proceeds. The amount to be utilized for general corporate purposes alone shall not exceed 25% of the Gross Proceeds.*

Shareholding Pattern		
Pre-Issue	**No. of Shares**	**%**
Promoter & Promoter Group	6,46,81,980	99.3
Public & Others	4,72,464	0.7
Total	**6,51,54,444**	**100.0**

Post Issue @ Upper Price Band	No. of Shares	%
Promoter & Promoter Group	6,46,81,980	89.3
Public & Others	77,12,563	10.7
Total	**7,23,94,543**	**100.0**

Source: RHP, SBICAP Securities Research

Key Financials

Particulars (Rs cr)	FY24	FY25	FY26
Revenue from Operations	444	591	580
EBITDA	103	208	110
Adj. PAT	(108)	93	52
EBITDA Margin (%)	23.2	35.3	19.0
Adj. PAT Margin (%)	(24.4)	15.7	9.0
RoE (%)	91.7	282.5	65.0
RoCE (%)	64.8	241.2	47.8
P/E (x)*	-	56.9	101.0
EV/EBITDA (x)*	51.0	25.3	48.6
Total Debt / Equity (x)	-0.0	0.9	1.3

Note: Pre-issue P/E and EV/EBITDA based on upper price band
Source: RHP, SBICAP Securities Research

Risk Factors

- **Operational risk:** Currently, WLT undertakes operations through a single cruise vessel. Any disruption to the cruise vessel could lead to operational disruptions and adversely impact business, results of operations, financial condition and cash flows.
- **Expansion risk:** The company's growth strategy relies on the acquisition of new vessels to expand its operations. Inability to expand operations by acquiring new vessels could significantly impact the business operations. WLT has entered into two time charter agreements to lease two new cruise vessels, i.e. Norwegian Sky and Norwegian Sun, from Baycruise Shipping and Leasing (IFSC) Private Limited, each with a passenger capacity of up to 2,004 and 1,936 guests, respectively. The vessels are intended to get introduced and commercialized by FY27 and FY28 respectively to meet the growing demand. Any inability to pay lease rentals in a timely manner could hinder expansion strategy.
- **Demand risk:** An increase in cruise capacity without a corresponding increase in demand and infrastructure could adversely affect the business, results of operations, financial condition and cash flows. The proposed fleet capacity expansion may cause WLT to experience reduced occupancy and engage in discounted pricing, affecting business performance.
- **Supply-chain risk**: The company's cruise operations are dependent upon limited third-party service providers for critical services and amenities. Any disruption in the services offered by these third-party service providers or contract renewal may adversely impact operations.

Growth Strategies

- Introduce new cruise vessels to meet growing demand. Entered into time charter agreements to acquire two new cruise vessels on lease, namely Norwegian Sky and Norwegian Sun, each with a capacity of up to 2,004 and 1,936 guests respectively and intend to introduce Norwegian Sky by FY27 and Norwegian Sun by FY28.
- Expand itineraries to include domestic destinations such as Diu, Porbandar, Port Blair, Kolkata, and New Mangalore, and international destinations such as Maldives, Indonesia, Australia, UAE, Oman, Kuwait, and Mauritius.

Revenue Split

Particulars	FY24		FY25		FY26	
	Rs cr	as % of revenue	Rs cr	as % of revenue	Rs cr	as % of revenue
Cruise ticket sales	388	87.4	529	89.5	529	91.2
Onboard revenue	51	11.5	53	9.0	51	8.7
Income from lease of vessel	2	0.4	8	1.3	-	0.0
Commission income	3	0.6	1	0.2	0	0.1
Revenue from operations	**444**	**100.0**	**591**	**100.0**	**580**	**100.0**

Source: RHP, SBICAP Securities Research

Channel-wise Sales Split

Particulars	FY24		FY25		FY26	
	No. of cabins sold	as % of total cabins	No. of cabins sold	as % of total cabins	No. of cabins sold	as % of total cabins
Cabins sold directly	36,769	60.0	47,195	63.0	47,895	62.3
Cabins sold by third-party travel agents	24,556	40.0	27,739	37.0	29,041	37.7
Total cabins sold	**61,325**	**100.0**	**74,934**	**100.0**	**76,936**	**100.0**

Source: RHP, SBICAP Securities Research

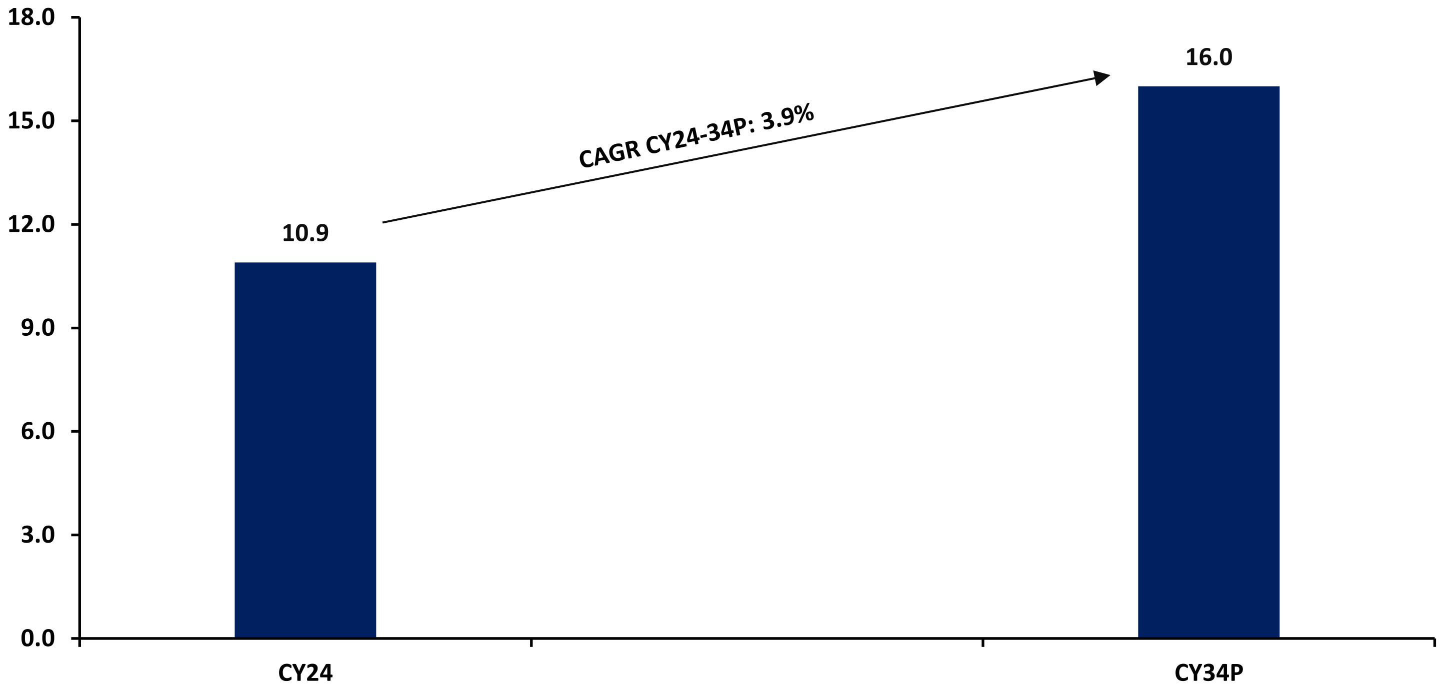
Key Operational Metrics

Particulars	FY24	FY25	FY26
Passenger Load Factor (%)	78.5	91.6	85.0
Occupancy Rate (%)	78.5	91.6	85.0
Available Passenger Cruise Days (APCD)	5,34,912	5,38,096	5,66,752
Passenger Cruise Days	4,20,110	4,93,081	4,81,660
Fleet Size	1	1	1
Cabin Capacity	796	796	796
Average Ticket Price (Rs per passenger)	9,244	10,724	10,980
Revenue per Passenger (Rs per passenger)	10,524	11,978	12,036
Fuel Cost per PCD (Rs per day)	1,729	1,734	1,480

Source: RHP, SBICAP Securities Research

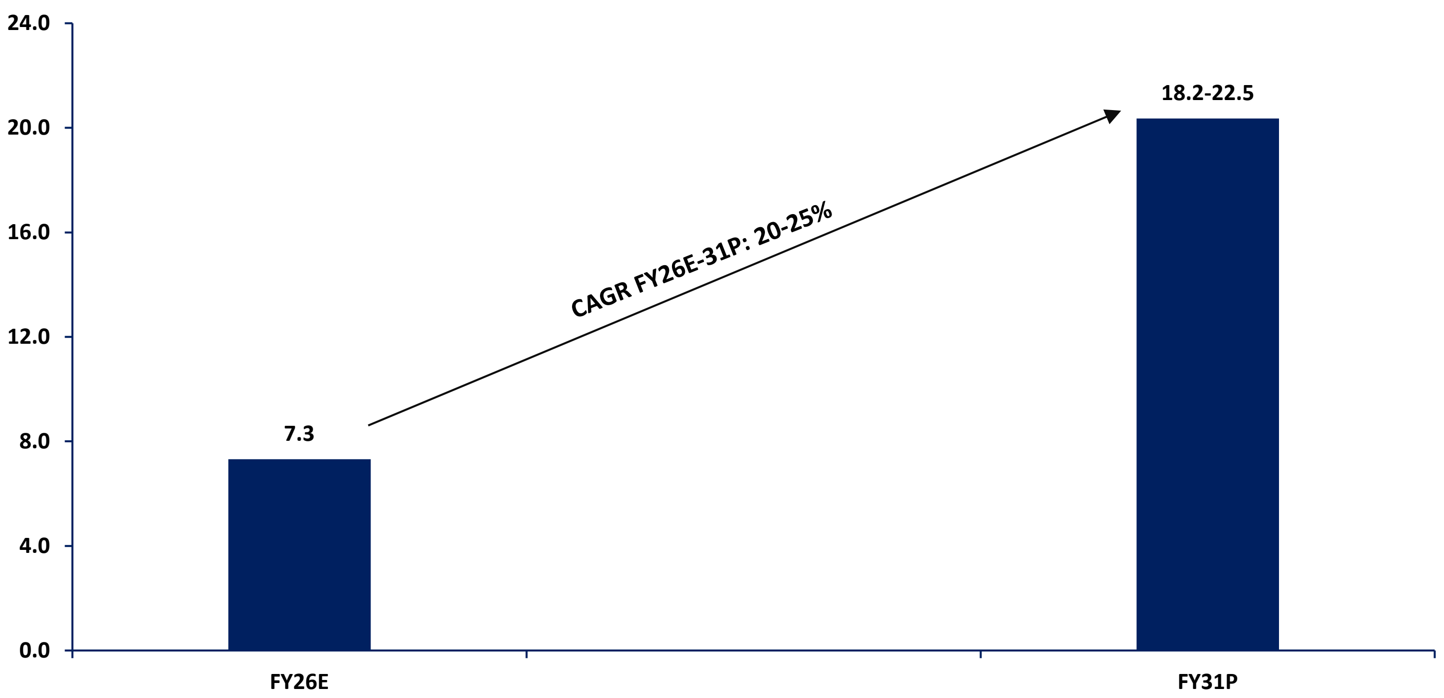
Industry Overview

Global Travel and Tourism sector's spends (USD tn)



Source: RHP, SBICAP Securities Research

Market size of overnight ocean and coastal cruise industry in India (Rs bn)



Source: RHP, SBICAP Securities Research

Financial Snapshot

INCOME STATEMENT			
Particulars (Rs cr)	**FY24**	**FY25**	**FY26**
Revenue from Operations	**444**	**591**	**580**
YoY growth (%)	-	*33.0%*	*-1.8%*
COGS (incl Stock Adj)	**259**	**267**	**319**
Gross Profit	**185**	**324**	**260**
Gross margins (%)	*41.7%*	*54.8%*	*44.9%*
Employee Cost	17	29	39
Other Operating Expenses	65	86	111
EBITDA	**103**	**208**	**110**
EBITDA margins (%)	*23.2%*	*35.3%*	*19.0%*
Other Income	8	7	7
Interest Exp.	35	38	9
Depreciation	184	63	30
PBT	**(108)**	**114**	**78**
Exceptional item	(14)	76	-
Tax	0	21	26
Share of profit of associates and JVs	-	-	-
Minority Interest	-	-	-
PAT	**(123)**	**168**	**52**
PAT margin (%)	*-27.6%*	*28.5%*	*9.0%*
EPS (Rs)	**(18.8)**	**25.8**	**8.0**
Adj. PAT	**(108)**	**93**	**52**
Adj. PAT margin (%)	*-24.4%*	*15.7%*	*9.0%*
Adj. EPS	**(16.6)**	**14.2**	**8.0**

BALANCE SHEET			
Particulars (Rs cr)	**FY24**	**FY25**	**FY26**
Assets			
Net Block	72	66	58
Intangible Assets	-	-	4
Intangible Assets under development	-	2	-
Right of use assets	245	24	14
Other Non-current Assets	39	6	164
Current Assets			
Inventories	10	6	6
Trade receivables	2	3	5
Cash and Bank Balances	17	33	6
Other Current Assets	14	107	86
Total Current Assets	**43**	**149**	**103**
Current Liabilities & Provisions			
Trade payables	44	24	25
Other current liabilities	180	130	113
Short-term provisions	0	1	0
Total Current Liabilities	**224**	**156**	**139**
Net Current Assets	**(181)**	**(7)**	**(36)**
Total Assets	**176**	**92**	**203**
Liabilities			
Share Capital	65	65	65
Reserves and Surplus	(183)	(32)	15
Total Shareholders' Funds	**(118)**	**33**	**80**
Minority Interest	-	-	-
Total Debt	5	30	102
Long Term Provisions	0	1	1
Lease Liabilities	288	26	16
Net Deferred Tax Liability	-	2	3
Total Liabilities	**176**	**92**	**203**

Cash Flow Statement (Rs cr)	FY24	FY25	FY26
Cash flow from Operating Activities	230	130	(96)
Cash flow from Investing Activities	(75)	(66)	10
Cash flow from Financing Activities	(146)	(48)	59
Free Cash Flow	157	114	(111)

RATIOS			
Particulars	**FY24**	**FY25**	**FY26**
Profitability			
Return on Assets	-27.1%	37.4%	15.3%
Return on Capital Employed	64.8%	241.2%	47.8%
Return on Equity	91.7%	282.5%	65.0%
Margin Analysis			
Gross Margin	41.7%	54.8%	44.9%
EBITDA Margin	23.2%	35.3%	19.0%
Adj. Net Profit Margin	-24.4%	15.7%	9.0%
Short-Term Liquidity			
Current Ratio (x)	0.2	0.8	0.5
Quick Ratio (x)	0.1	0.8	0.5
Avg. Days Sales Outstanding	2	2	3
Avg. Days Inventory Outstanding	14	8	7
Avg. Days Payables	47	23	20
Fixed asset turnover (x)	1.4	6.5	8.1
Debt-service coverage (x)	-1.8	2.2	0.8
Long-Term Solvency			
Total Debt / Equity (x)	0.0	0.9	1.3
Interest Coverage Ratio (x)	-2.1	4.0	10.0
Valuation Ratios*			
EV/EBITDA (x)	51.0	25.3	48.6
P/E (x)	-	56.9	101.0
P/B (x)	-	160.6	65.6
EV/Sales (x)	11.8	8.9	9.2
P/Sales (x)	11.9	8.9	9.1

***Valuation ratios are based on pre-issue capital at the upper price band**

Source: RHP, SBICAP Securities Research

Peer Comparison – FY26

Particulars	FY26 - Rs cr	CY25 - USD mn		
	Waterways Leisure Tourism Ltd.	Royal Caribbean Cruises Ltd.	Carnival Corp Ltd.	Norwegian Cruise Line Holdings Ltd.
Market Cap	5,849	83,814	42,773	9,384
Sales	580	17,935	26,622	9,828
EBITDA	110	7,025	7,182	2,730
Adj. PAT	52	4,286	3,079	1,045
EBITDA Margin (%)	19.0	39.2	27.0	27.8
Adj. PAT Margin (%)	9.0	23.9	11.6	10.6
P/E (x)	112.2	19.6	13.9	9.0
RoE (%)	65.0	50.4	27.9	29.5
M-Cap/Sales (x)	10.1	4.7	1.6	1.0

For Waterways Leisure Tourism Ltd., Market Cap, P/E(x), Market Cap/Sales(x) are calculated on post-issue equity share capital based on the upper price band.
Source: Bloomberg, RHP, SSL Research

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